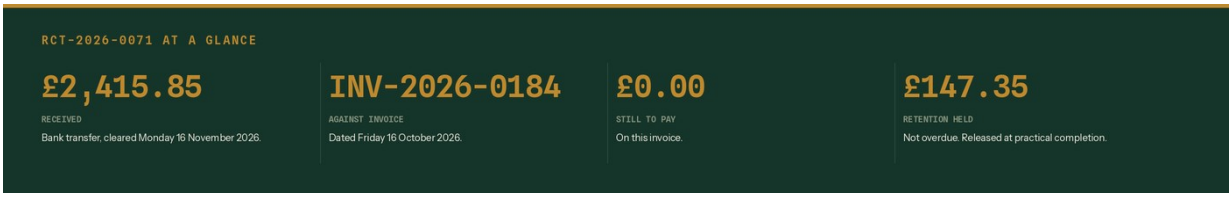
Receipt

RCT-2026-0071 · a worked example against INV-2026-0184

Worked example — not a real job

Every name, number and date on this document is made up to show you how the form works. Klyara has no clients yet and this is not a record of any job. Replace the lot with your own.



What this receipt says, in four numbers.

FROM	MONEY RECEIVED FROM
Hatcher Groundworks Ltd **Unit 4, Ladymead Yard** **Guildford** **Surrey GU1 1DB** **VAT GB 412 8890 55** **Company 09884412**	Pennistone Construction Ltd Pennistone House, Chertsey Road Woking Surrey GU21 5BJ For the attention of Marie Odell, Commercial

RECEIPT NUMBER	DATE MONEY CLEARED	HOW IT WAS PAID	THEIR REFERENCE
RCT-2026-0071	Monday 16 November 2026	Bank transfer	PC-4471

What this receipt pays

LINE	WORKING	AMOUNT
INV-2026-0184, dated 16 October 2026	Groundworks, Plot 6, Wey Meadow, Cranleigh	£2,947.00
Less retention at 5%	Held by Pennistone Construction Ltd to	-£147.35

LINE	WORKING	AMOUNT
	practical completion	
Less CIS at 20%	Paid to HMRC in our name. Statement to follow.	-£383.80
Received with thanks	Cleared 16 November 2026	**£2,415.85**
Still to pay on this invoice	Nothing outstanding	£0.00
Retention still held	Due for release at practical completion	£147.35

VAT: Reverse charge: customer to pay the VAT to HMRC

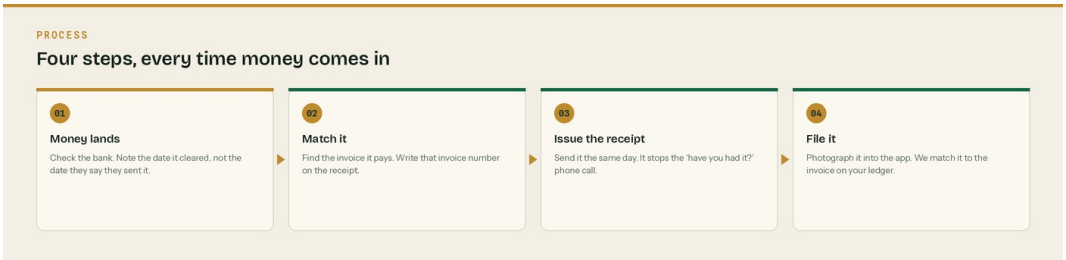
The work this receipt relates to was invoiced under the domestic reverse charge. The rate that would have applied is **20%**, which on £2,947.00 is **£589.40**. No VAT was charged and none was paid. This receipt is not a VAT invoice.

CIS statement due by Saturday 19 December 2026

The payment fell in the tax month **6 November to 5 December 2026**. The contractor has 14 days from the end of that tax month to send the statement showing the **£383.80** deducted. Chase it on the 20th if it has not arrived.

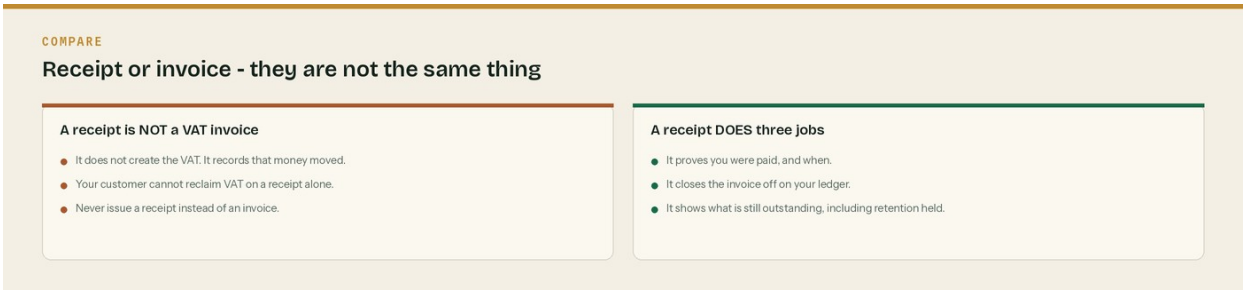
Retention still held: £147.35

Not overdue, but not yours yet either. Put a diary note against practical completion. When it is paid it carries its own **£20.20** of CIS and **£127.15** reaches the bank.

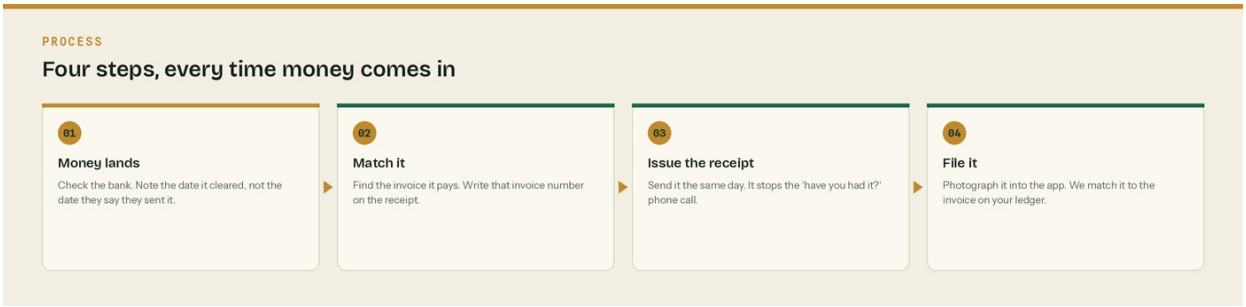


Four steps, every time money comes in.

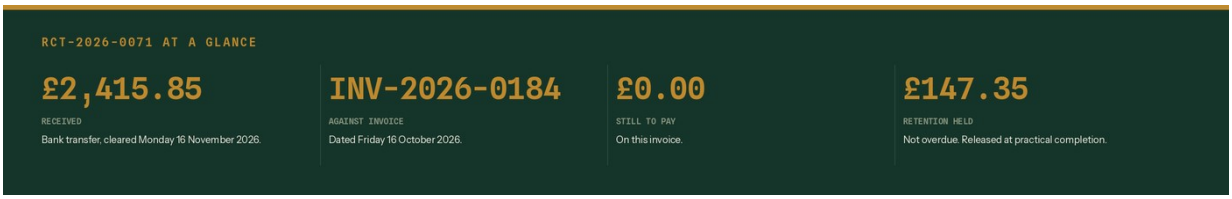
Receipt or invoice - and why it matters



They do different jobs. Do not swap one for the other.



The same four steps again. Step two is the one that saves the phone call.



And the four numbers this receipt has to carry.

A receipt records money. An invoice creates the debt.

Send the invoice first, always. The receipt goes out when the money clears, not when they tell you they have paid it. Two different documents, two different numbers, two different jobs.

Date it the day the money cleared

Not the day they say they sent it. Your bank statement is the record HMRC will look at, and the receipt has to agree with it.

Say what is still outstanding

Retention held is not a bad debt and it is not overdue - but it is money you have not got. Put it on the receipt every time so nobody forgets it exists.

Chase the CIS statement

The contractor must give you a payment and deduction statement within 14 days of the end of the tax month the payment fell in. Without it you cannot prove the deduction. No statement, no relief.

Keep it for six years

A limited company must keep its records for **six years from the end of the last company financial year they relate to**. Photograph it into the app and the six years look after themselves.

WHERE THIS COMES FROM

Checked against gov.uk on **Wednesday 26 August 2026**. If a rate changes, the wording stays the same and only the number moves.

- CIS payment and deduction statements (CISR12160) — `https://www.gov.uk/hmrc-internal-manuals/construction-industry-scheme-reform/cisr12160`
- What a VAT invoice must show (VAT Notice 700 section 16) — `https://www.gov.uk/guidance/vat-guide-notice-700`
- Keeping company and accounting records — `https://www.gov.uk/running-a-limited-company/company-and-accounting-records`